



First Assurance

PROFESSIONAL INDEMNITY INSURANCE POLICY (ACCOUNTANTS)

IMPORTANT NOTICE

This Policy should be examined carefully on receipt and if any error is found the Company should be immediately notified within 30 days.

First Assurance Company Limited is regulated by the Insurance Regulatory Authority.

NOTICE

This is a claims made policy. Except to such extent as may otherwise be provided herein, the coverage of this policy is limited generally to liability for only those claims that are first made against the insured for acts committed or allegedly committed by the insured and reported to Company while the policy is in force, provided there has not been a break of cover with the Company from the date the negligent act, omission or error was committed to the date the claim is made.

INSURING AGREEMENT

Subject to the terms, limits, exclusions and other conditions contained in this policy and schedule and in consideration of the insured having paid or agreed to pay the premium, Old Mutual (hereafter called “the Insurer”) agrees to indemnify the Insured, but not exceeding the aggregate limit stated in the schedule:

- 1.1 Up to the limit of indemnity stated in the schedule for any sum, which the insured may become legally liable to pay as compensation arising from any claim being first made in writing against him during the policy period stated in the schedule.
- 1.2 For breach of duty of the profession stated in the schedule, by reason of any negligent act, error or omission committed or alleged to have been committed during the policy period and within the territory stated in the schedule, of:
 - 1.2.1 The insured and, or
 - 1.2.2 Any person at that time employed by the insured in the conduct, by or on behalf of the insured, of any business in the professional capacity as stated in the schedule.
- 1.3 The costs and expenses incurred with the insurers’ written prior consent in the defense and/or settlement of any claim. However, if a payment in excess of the limit of indemnity available under this insurance has to be made to dispose of a claim, the insurers’ liability in respect of such costs and expenses incurred shall be in the same proportion as the amount of the indemnity available under this insurance to the total amount paid to dispose of the claim.

LIMITS OF INDEMNITY

2.1 Any one claim

The liability of the Insurer for all compensation costs and expenses payable to the Insured in respect of any one occurrence shall not exceed the sum stated in the schedule as the limit of indemnity for any one claim.

Claims Series Event

A claim series event as defined below shall be deemed to be one occurrence and the date of loss shall be the date when the first claim of the claims series event is made in writing against the Insured.

A claim series event shall be defined as follows:

- 2.1.1 All claims for losses, which are different consequences or results of one negligent act, error or omission. It is deemed to be one negligent act, error or omission if more than one act omitted or committed was due to the same or similar cause or source provided the respective matters were legally or financially connected.
- 2.1.2 More than one act omitted or committed resulting in the same loss; and/or
- 2.1.3 One claim made against more than one liable person insure under one policy.

2.2 Aggregate Limit

The liability of the Insurer for all compensation costs and expenses payable in respect of all claims made during any one period of indemnity shall not exceed the aggregate limit as stated in the schedule.

2.3 Geographical Area

Kenya.

INSURED'S EXCESS

The Insurer is liable, in respect of each and every claim hereunder, only for that part of the claim (which for the purpose of this clause shall be deemed to include all costs and expenses incurred by the Insurer investigating and defending the claim) which exceeds the Insured's excess stated in the schedule; it being understood and agreed that if any expenditure is incurred by the Insurer which, by virtue of this clause, is the responsibility of the Insured, then such amount shall be reimbursed forthwith to the Insurer by the Insured on demand.

EXTENDED REPORTING PERIOD

If the company or the insured shall cancel or refuse to renew this policy, the Insured shall have the right, upon payment of an additional premium of 50% of the total premium, to a period of twelve (12) months following the effective date of such cancellation or non-renewal (herein referred to as the extended reporting period) in which to give written notice to the company of claims first made against the insured during the said twelve (12) months period for any wrongful act committed during the policy period and otherwise covered by this policy.

The rights contained in this clause shall terminate, however, unless written notice of such election together with the additional premium due is received by the company within thirty days of the effective date of the cancellation or non-renewal. This clause and the rights contained herein shall not apply to any cancellation resulting from any non-payment of premium.

EXCLUSIONS

This policy shall not cover any claim or claims arising out of:

- 5.1 Any negligent act, error or omission in connection with services and activities performed that go beyond the scope of the professional services of an accountant/auditor under domestic legislation ethical codes and rules.
- 5.2 Any arrangement or recommendation - whether this be gratuitous or not - of financial, real estate or other commercial matter, this shall not apply if, and insofar as, the claim arises from false advice on tax matters.
- 5.3 Excess of cost estimates or credit lines.
- 5.4 Claims arising from the Insured's activities as the head or member of the board of management or supervisory board of private undertakings, clubs, associations, or as legal officer thereof.
- 5.5 Libel or slander.
- 5.6 Any neglect, error or omission by the Insured in effecting or maintaining insurance.
- 5.7 Insolvency or bankruptcy of the Insured.
- 5.8 Failure to account for money at hand and received.
- 5.9 Loss of documents (of any nature whatsoever) whether written, printed or reproduced by any other method or any computer-based or electronically stored information or material property which has been lost, mislaid or destroyed while entrusted to, or in the care, custody or control of the Insured.
- 5.10 Any activity of whatsoever nature (e.g. advice, recommendation, etc.) related to software or hardware consultancy or services.
- 5.11 Infringement of patents, copyrights, trade names, trade marks of registered design.
- 5.12 Any intentional, dishonest, malicious, criminal or illegal act by the Insured or his employees.
- 5.13 Bodily injury, property damage or any consequential loss resulting therefrom.
- 5.14 Any financial loss directly, indirectly or allegedly caused by or contributed to by, or arising from, pollution of air, water or soil.
- 5.15 Any consequence of war, invasion, act of foreign enemy, hostilities (whether war be declared or not), civil war, terrorism, rebellion, revolution, insurrection or military or usurped power.
- 5.16 Fines, penalties, punitive or exemplary damages or any other damages resulting from the multiplication of compensatory damages.
- 5.17 Liability assumed by the Insured by contract or any other agreement (including any express or implied warranty or guarantee), unless such liability would have attached even in the absence of such contract or agreement.
- 5.18 **Claims filed by the Insured under this policy against each other or filed by any party:**

5.18.1 Which is directly or indirectly owned, controlled, operated or managed by the Insured.

5.18.2 In which the Insured is a partner, consultant or employee or relative (including spouse).

5.19 The first (as shown in the schedule)% of the limit of indemnity of each and every claim to be considered under the policy.

5.20 **Terrorism Exclusion Clause**

Notwithstanding any provision to the contrary within this policy or any endorsement thereto, this Insurance agreement does not cover any liability, loss, damage or expense of whatsoever nature directly or indirectly caused by, resulting from, happening through or in connection with any act of terrorism, regardless of any other cause contributing concurrently or in any other consequence to the loss, damage or expense.

For the purpose of this exclusion, terrorism means an act of violence or an act dangerous to human life, tangible or intangible property or infrastructure with the intention or effect to influence any government or to put the public or any section of the public in fear.

In any action suit or other proceedings where the Insurer alleges that by reason of this definition a loss, damage or expense is not covered by this policy, the burden of proving that such a loss, damage or expense is covered shall be upon the Insured.

5.21 **Political Risks Exclusion Clause**

The following shall be excluded from this agreement:

Any loss or damage occasioned by or through or in consequence, directly or indirectly, of any of the following occurrences, namely:

5.21.1 War, invasion, act of foreign enemy, hostilities or warlike operations (whether war be declared or not), civil war.

5.21.2 Abandonment and/or permanent or temporary dispossession resulting from detention, confiscation, seizure, restraint, commandeering, nationalisation, appropriation, destruction or requisition by order of any government de Jure or de facto or by any public authority.

5.21.3 Mutiny, civil commotion, military rising, insurrection, rebellion, revolution, military or usurped power, martial law or state of siege or any of the events or causes which determine the proclamation or maintenance of martial law or state of siege.

5.21.4 Any riot, strike or public disorder or any act or activity which is calculated or directed to bring about a riot, strike or public disorder.

5.21.5 Any act which is calculated or directed to bring about loss or damage in order to further any political aim, objective or cause, or to bring about any social or economic change, or in protest against any State or government, or any political or local authority, or for the purpose of imposing fear in the public or any section thereof.

5.21.6 The act of any lawfully established authority in controlling, preventing, suppressing or in any other way dealing with any occurrence referred to in clauses 5.21.4 and 5.21.5 above.

5.21.7 Plundering, looting, war pillage in connection with riots and/or civil commotion.

For the purposes of clauses 5.21.4, 5.21.5 and 5.21.6, any loss or damage occasioned directly by a labour disturbance, lock-out or strike shall not be excluded. In any action, suit or other proceeding in which the insurer alleges that by reason of these provisions any loss or damage is not covered by this Policy, the burden of proving that such loss or damage is covered shall be upon the insured.

All other terms, conditions and exclusions remain unchanged.

CONDITIONS

This policy and the schedule shall be read together as one contract and any word or expression to which a specific meaning has been attached in any part of this policy or of the schedule shall bear such specific meaning wherever it may appear.

6.1 In the event of any incident, circumstance that may give rise to a claim for indemnity under this policy, the Insured shall give immediate notice in writing to the Insurer. If such notice is given not later than 30 days after the expiration of the policy, any claim to which that incident, circumstance has given rise, which may be made within 36 months after the expiration of the period specified in the schedule, shall be deemed for the purpose of this policy to have

been made during the existence hereof.

- 6.2 The Insured shall not admit liability or settle or make or promise any payment in respect of any claim which may be the subject of indemnity hereunder, or incur any costs or expenses in connection therewith, without the written consent of the Insurer which shall be entitled to take over and conduct in the name of the Insured the defense and/or settlement of any such claim, for which purpose the Insured shall give all the information and assistance that the Insurer may reasonably require.

The Insurer will not settle any claim without the consent of the Insured. If, however, the Insured refuses to consent to any settlement recommended by the Insurer and elects to contest or continue any legal proceedings then the liability of the Insurer shall not exceed the amount for which the claim could have been so settled plus the costs and expenses incurred with their consent up to the date of such refusal.

- 6.3 Where a retroactive date is specified in the schedule, this insurance does not apply to claims made against the Insured by reason of any negligent act, error or omission committed or alleged to have been committed prior to the said retroactive date.

- 6.4 The Insured shall at all times:

6.4.1 Maintain accurate descriptive records of all professional services which records shall be available for inspection and use by the Insurer or their duly appointed representatives insofar as they pertain to any claim hereunder.

6.4.2 Give to the Insurer or their duly appointed representatives such information, assistance and signed statements as the Insurer may require, and

6.4.3 Assist in the defense of any claim without charge to the Insurer.

- 6.5 In the event of any dispute arising between the Insured and the Insurer, this insurance shall be governed by the law of the country specified in the schedule, whose courts only shall have jurisdiction in any dispute arising hereunder.

- 6.6 It is hereby agreed that if any payment is made under this insurance in respect of a claim, the Insurer is thereupon subrogated

to all the Insured's rights of recovery in relation thereto.

- 6.7 If the Insured makes any claim knowing the same to be fraudulent or false, as regards amount or otherwise, this Insurance shall become void and all claims thereunder shall be forfeited.

- 6.8 This insurance shall not be called upon in contribution and shall only pay such loss if and so far as it is not recoverable under any other insurance.

- 6.9 **The indemnity provided by this policy is restricted to apply in respect of:**

6.9.1 Compensation resulting from judgment rendered by or obtained from a court of competent jurisdiction in the territory stated in the schedule.

6.9.2 Charges, expenses and legal cost incurred and recoverable in the territory stated in the schedule.

- 6.10 In the absence of local legal regulation regarding cancellation, this insurance may be cancelled by the Insured at any time by giving written notice to the Insurer. This insurance may also be cancelled by the Insured at any time by giving written notice to the Insurer. This insurance may also be cancelled by or on behalf of the Insurer by registered, certified or other first class mail to the Insured's address as shown in this schedule, containing written notice about when, not less than 30 days thereafter the cancellation shall be effective. The mailing of such notice as aforesaid shall be sufficient proof of notice and this insurance shall terminate at the date and hour specified in such notice.

- 6.11 If this insurance is cancelled by the Insured the Insurer shall refund the customary short rate proportion of the premium hereon.

If this insurance is cancelled by, or on behalf of, the Insurer for any reason other than non-payment of the premium or any breach of contract by the Insured, the Insurer shall refund the pro rata proportion of the premium hereon.

- 6.12 Payment or tender of any unearned premium by the Insurer shall not be a precondition for the validity of cancellation, but such payment shall be made as soon as practicable.

- 6.13 If the period of limitation relating to the giving of notice is prohibited or made void by any law controlling the construction thereof, such period shall be deemed to be amended so as to be equal to the minimum period of limitation permitted by such law.

The first and all renewal premiums that may be accepted are to be regulated by the annual gross fees received and the total number of staff including partners and/or directors during each period of insurance. The insured shall supply the Company with a correct figure of such gross fees and number of staff including partners and/or directors

during any period of insurance. If the declaration shall differ from the figures of which the premium has been paid, the difference in premium shall be met by a further proportionate payment to the Company or by a refund by the Company.

Should the Insured fail to supply such a declaration within one month of the expiry of the period of insurance, the Company shall assume that there is no change in the declared values and the previous period figures provided to be adopted for the current renewal period. In the event of a claim and the insured declares higher values, or it is discovered that the values were underdeclared, then the average clause shall apply.

6.14 The indemnity provided herein shall not apply to:

- 6.14.1 Compensation for damages in respect of judgments delivered or obtained in the first instance otherwise than by a court of competent jurisdiction within the Republic of Kenya.
- 6.14.2 Costs and expenses of litigation recovered by any claimant from the insured that are not incurred in and recoverable in the Republic of Kenya.

6.15 Sanctions Clause

The [Insurer] shall not be deemed to provide cover and the [Insurer] shall not be liable to pay any claim or provide any benefit under this policy to the extent that the provision of such coverage, payment of such claim or provision of such benefit would expose the [Insurer], its parent, subsidiary or affiliate entities and organizations, including any director, officer, employee, or agent to any sanction, prohibition or restriction implemented pursuant to resolutions of the United Nations or the trade and economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.”

6.16 Sunset Clause

Insured shall notify the company of all claims promptly and not later than six (6) months whichever the earlier from the date of loss. Any claim brought and notified to the company upon expiry of the set period herein above shall not be admissible and the company shall not be under any compulsion and/or obligation under this policy to admit liability.

This clause shall be read alongside the notification clause and does not extinguish the notification clause/condition

6.17 Screening And Verification

We disclose to you that being part of a global financial institution, We comply with national and international laws, regulations, policies, rules and requirements to prevent criminal activities, money laundering and terrorist financing, sanctions and prohibited business activity laws and rules violations.

Therefore, we may initially screen, verify and process all your new and related information and thereafter monitor all information, instructions and transactions by and on behalf of yourself(s) in relation to all transactions and to the business relationship on a continuous basis.

This may result in the prohibition, limitation, delay in the execution of instructions or transactions and even in the declining or terminating any transaction or business relationship with yourself(s) and to the extent permitted, we shall advise of any action we intend to take in terms hereof.

Please note, you acknowledge and confirm that neither us, nor our respective affiliates, employees, officers or directors, shall be liable for any direct or consequential loss, damage, costs or expenses whatsoever that may be suffered or incurred by you as a result of, arising from or relating to any such prohibition, limitation, delay, decline or termination due to the implementation of this clause.

6.18 Data Protection Clause

Any information about The Policyholder and or Insured Person(s) which The Policyholder and or Insured Person(s) provides to The Insurer(s) will be processed by The Insurer(s) in compliance with the provisions of the Protection of Personal Information Act, 2013 as amended from time to time, for the purpose of providing insurance and handling Claims, if any, which may necessitate providing such information to third parties

First Assurance Company Limited (FACL) will use the information supplied during the formation and performance of this policy for policy administration, customer services, the payment of claims and the production of management information for business analysis. We will keep this information for a reasonable period.

Where sensitive personal data has been disclosed, including any medical information, FACL will also use this

information for these purposes

FACL may record telephone calls for quality control, fraud prevention and staff training purposes.

When personal or sensitive data is supplied to FACL about third parties other than the Policyholder and or Insured Person(s), both during the formation and performance of this policy, FACL assumes that those third parties consent to the supply of this information to FACL, to FACL processing this data, including sensitive personal data, and to the transfer of their information abroad. FACL will also assume that the supplier of the information is authorised to receive, on their behalf, any data protection notices

FACL may share personal and sensitive personal information with the following organisations for the purposes described above:

- a) our connected companies, service providers, agents and subcontractors including loss adjusters and claims investigators;
- b) our reinsurers who use this information to assess the terms of specific policies and to administer our insurance policies generally;
- c) other insurance companies about other insurance policies the Policyholder and or Insured Person(s) may have;
- d) the police, other insurance companies, fraud reference agencies and other representative bodies in relation to the prevention and detection of fraudulent claims or as part of our money laundering checks

FACL works with the police, other insurance companies, fraud reference and detection agencies and other representative bodies to prevent and detect fraudulent or exaggerated claims. As part of this FACL will share information about your claims with providers of software designed to assist in the detection of fraudulent claims. FACL may also use commercially available databases to prevent money laundering. Other companies may contact these bodies for information to help them make decisions about insurance or similar services they provide to you. Individuals whose information has been supplied to FACL are entitled to a copy of that information on payment of a fee and to have any inaccuracies corrected. Such information is available by contacting the Compliance Officer at First Assurance Company Limited

We do not use personal information for marketing purposes, nor do we share it with any other company for marketing purposes, unless consent to do so has been received in writing from you.

THE FOLLOWING ENDORSEMENTS APPLY ONLY IF THEIR TITLES APPEAR ON THE SCHEDULE OF THE POLICY:

1. Loss of Documents

It is hereby declared and agreed that if during the currency hereof Insured shall discover and shall within seven days of the date of discovery give written notice thereof to the Insurers that any document (as hereinafter defined) the property of or entrusted to the Insured which now or in the hands of any other party or parties to or with whom such documents have been entrusted, lodged or deposited by the Insured in the ordinary course of business have while within the limits of Kenya been destroyed or damaged or lost or mislaid and after diligent search cannot be found this policy shall indemnify the Insured for:

- 1.1 Any liabilities of whatsoever nature, which they may incur to Third Parties in consequence of such documents having been so destroyed, damaged lost or mislaid.
- 1.2 All costs, charges and expenses of whatsoever nature incurred by the Insured in replacing and/or restoring such documents.

Provided always that:

- The amount of any claim for costs and expenses as above shall be supported by bills and/or accounts which shall be subject to approval by some competent person to be nominated by the Insurers with the approval of the Insured.
- No liability shall attach hereto for any loss brought about or contributed to by the dishonesty of any of the Insured's partners

or employees.

- On payment of any loss hereunder, the Insured shall subrogate to the Insurers their right of procedure against any other person or person for the recovery thereof.
- Insurers' liability in respect of any and all losses under any or all sections of this policy shall be limited to 10% of the limit of indemnity.

2. Dishonesty/Malicious Acts Extensions

This policy is extended to indemnify the Insured against any claim for breach of duty which may be made against them by reason of any dishonest, fraudulent, criminal or malicious act or omission of any employee or other person acting on behalf of the Insured (other than a director or partner) and notwithstanding anything to the contrary contained in this policy, the Insurers shall be free to exercise the Insured's rights of recovery against the Insured's employees or any person standing in the relation of agent in relation to any claim.

Provided that this Extension shall not apply to any liability arising out of:

- Loss of money (including postal and money orders) or other movable property, the property of the Insured or for which they are responsible.
- Theft or forgery of cheques and other negotiable instruments and documents of title, the property of the Insured or for which they are responsible.
- The Company's Liability hereunder shall not exceed 10% of the limit of liability specified in the schedule.

3. Libel Or Slander Clause

It is hereby declared and agreed that exclusion 5 of the policy is deemed to be deleted and the policy extended to cover claims arising from Libel or Slander.

Provided the Company's liability hereunder shall not exceed 10% of the limit of liability specified in the schedule.

4. Indemnity to Incoming and/or Outgoing Directors/Partners

Subject to payment of additional premium as agreed this policy also covers the acts and deeds of the outgoing directors/partners, so long as such events, leading to any claim under this policy occur within a retroactive period of one year from the date of discovery. It is further agreed that the policy will indemnify the incoming directors/partners, provided such directors/ partners:

- 4.1 Not entitled to indemnify under any other policy of insurance,
- 4.2 Shall as though he were the Insured observe fulfil and be subject to the terms conditions excluding and provisions of this policy.

5. Retired Partners Clause

The policy cover is extended to indemnify retired partners of the insured firm for claims made against them during the currency of the policy arising out of neglect omission or error committed by the retired partner whilst he was acting in his professional capacity on behalf of the insured prior to his date of retirement.



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